



Monthly Sugar Note

25th September

Markets

After a strong price rally, which took sugar values from 14c/lb in the last week of July to 18.7c/lb in the first week of September, prices may have reached a ceiling. Net speculative funds remain heavily long, but their appetite appears to have diminished in recent days. India, which introduced a 1mmt import quota in response to high domestic prices, appears to have been largely priced into the market. However, tight stocks and unfavourable weather conditions continue to pose risks to the upcoming Indian crop. In the meantime, good August crop figures from Brazil's Centre-South region provided some relief to the market, although September production could turn out to be a record low for the period.

Speculative positioning continues to be a key force supporting agricultural commodity prices at elevated levels. Corn and soybean have seen a significant increase in speculative long positions over the past two months. From the end of July to mid-September, soybean net speculative longs increased by 88%, reaching 147k lots, while corn positions rose by more than 200% to 232k lots over the same period. Sugar has followed a similar trend, with net speculative positioning reaching 161k lots in mid-September, compared with -120k lots at the end of July.

Figure 1: Net spec position vs. NY11 prices

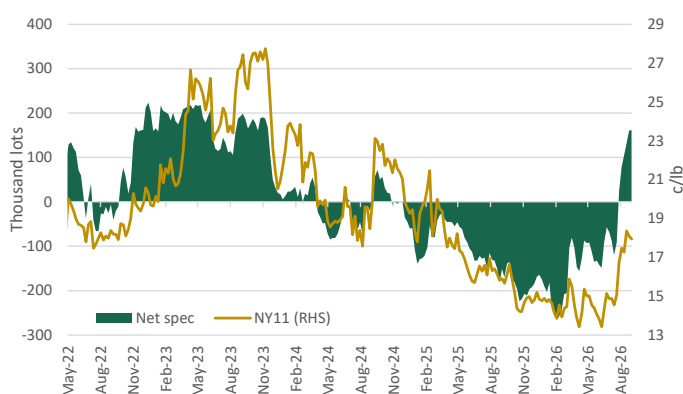


Figure 2: Indian domestic sugar prices



Source: CFTC, NCX and ED&F Man Commodity Research

Also worth noting that commercial participants have reached record net short positions, potentially indicating that Brazilian mills are already well covered for 2027. This may support the view that a higher share of sugar in the Brazilian production mix could be seen in 2027. At the same time, such a heavily hedged position creates a potential source of volatility in the futures market, as any need for producers



to adjust or unwind their hedges could trigger a sharp price spike, regardless of the underlying fundamentals.

India has certainly been the hot story in the sugar market over the past month. Low ending stocks prompted the government to introduce several measures aimed at managing the domestic market, the most significant being a 1mmt sugar import quota. However, the quota is unlikely to be fully utilized after the sharp decline in domestic prices combined with higher NY11 levels pushed import parity into negative territory. Still, domestic prices fell abruptly, providing some relief to the government, but the story is far from over given the poor rainfall observed across India's main cane-growing regions. To help maintain prices at reasonable levels, the government is now asking mills to start the new crushing season earlier, by mid-October. Producers are aware that an earlier start could reduce sugar output, as harvesting and crushing at an earlier stage may negatively affect sucrose content. However, current sugar prices could provide sufficient compensation for mills to accept the potential reduction in sugar recovery.

Brazil C/S August crop results were positive, although ATR remained at relatively low levels. Cane crushing exceeded 100mmt in August, bringing cumulative cane crush since the beginning of the season to 413mmt, up 2.2% YoY. The sugar mix exceeded 50% for the first time in August, suggesting that sugar is currently offering better returns than ethanol. Ethanol consumption is certainly increasing, but in the absence of UNICA data, the market must rely on fuel sales figures, which do not capture total ethanol demand. Nevertheless, the recent rise in ethanol prices is a clear indication that demand has improved. It is also worth highlighting the recent changes to Brazil's fuel policy. The government ended the gasoline subsidy while simultaneously reducing federal taxes to prevent an increase in gasoline prices. At the same time, federal taxes on hydrous ethanol were eliminated and a subsidy was introduced. Overall, these measures should make ethanol more competitive relative to gasoline. However, the response from distributors and potential increases in ethanol prices could ultimately limit the impact of the policy changes, leaving the relative attractiveness of ethanol versus sugar largely unchanged.

September crop results are likely to be the opposite of August, and the market should be prepared for headlines pointing to record-low cane figures and a significant widening of the YoY sugar production gap. Rainfall during the first half of September was record-high for the period, forcing some mills to halt operations for up to 10 days. We should soon start to hear mills indicating that the crushing season could extend into December, although this would come at a cost in terms of both sugar mix and cane quality. On the other hand, the additional rainfall should improve cane availability for the 2027/28 crop. Assuming the ethanol balance is resolved, and favourable summer rains materialize, potentially supported by El Niño, the combination of higher cane availability and a more balanced ethanol market could point to a substantial sugar production increase in 2027, potentially offsetting part of the losses expected from Northern Hemisphere producers.



All in all, the sugar market will largely depend on the performance of the Brazilian crop during the final months of the season and on the first production figures from India. The former will provide a clearer indication of the supply available in the near term, while the latter will shape expectations regarding India's potential import requirements. For the time being, we believe global supply is likely to exceed demand. However, higher ethanol prices and continued speculative appetite should provide some support to the market, making a return to 14c/lb levels unlikely. At the same time, prices above 20c/lb appear optimistic for now, although the futures market's supply-and-demand dynamics could still deliver surprises.

Fundamentals

- **Brazil C/S:** Production data is now available up to SH August, fortnight that was strong, probably the last dry one of the season which resulted in a crush value close to a record at 52mmt while sugar output reached 3.72mmt. Since the start of the season, cumulative crush reached 411mmt, up 1.5% from 405mmt in the same period of 2025/26. ATR was broadly stable at 131.6kg/t versus 131.8kg/t LY but this number should start to drop within the next weeks given the wet season foreseen. Sugar mix fell 6.4 p.p. to 46.4% from 52.8%, bringing sugar production to 23.95mmt, a 10.8% drop from 26.84mmt in the past season. Weather in the CS region has since turned, and September has been very wet. The rain has caused several disruptions, reducing the time available to crush and lowering ATR and sucrose concentration in the cane. The 30-day forecast also points to above-average rainfall, which should mean further disruptions and delays to the harvest. The high precipitation is also affecting exports, as wet weather at the ports is disrupting loading rates.
- **India:** India's cumulative rainfall across the major sugarcane-growing regions stands 17% below the seasonal normal as of 24 September 2026, with conditions deteriorating markedly in the central-west. From 1 June to 24 September 2026, rainfall weighted by cane-growing area was 26% below normal in Maharashtra and 31% below normal in Karnataka, two states that together account for a dominant share of India's total sugar output. By contrast, Uttar Pradesh recorded rainfall 3% above normal, underlining the sharp regional divergence shaping this season's crop outlook. September, historically a month that can provide late-season crop relief, has offered little respite, with below-normal conditions persisting across these interior zones. The consequences of this rainfall shortfall extend well beyond the monsoon season itself. Prolonged dry conditions are placing agricultural yields under increasing downside risk, particularly in highland areas and regions reliant on open wells and borewells, where declining groundwater tables are limiting the ability to compensate for the absence of surface rainfall. Reservoir levels compound the concern. Water storage remains inadequate for irrigation purposes, especially in Marathwada and large parts of Karnataka. While reservoirs proximate to the Western Ghats currently hold comparatively better stocks, state governments have been prioritising water allocations for drinking purposes, further constraining the supply available to irrigate cane fields. In a normal year, managed water releases from reservoirs into cane-growing areas would commence after the monsoon concludes in October or November, providing a critical buffer for summer cultivation. This year, however, the severity of the dry conditions forced early releases to begin as early as the second half of July in some areas — well ahead of schedule. The consequence is that reservoirs serving approximately 50% of the cane-growing area may see a faster-than-usual decline in water levels over the coming months, raising material concerns about irrigation availability during the peak summer growing period. Against this agronomic backdrop, crop 2026/27 gross sucrose production may not exceed 29mmt, assuming zero diversion of sucrose to ethanol. The production shortfall relative to demand, combined with elevated domestic prices, necessitates meaningful import volumes which may be requested once the new Indian crop is revealed. Looking ahead to the 2027/28 season, lower planting area due to the current dry conditions should result in even lower crop figures. Import requirements can also be expected to rise materially. Ex-mill prices are currently trading at approximately INR



44,000–44,500 per metric ton in central-west India (Maharashtra and Karnataka) and INR 45,500–46,000 per metric ton in North India (Uttar Pradesh). The regional premium in the north likely reflects both logistical differentials and the relatively stronger supply position in Uttar Pradesh given its better rainfall season. The stability in prices at these levels — already elevated relative to historical norms — is consistent with the market having partially priced in the production risk, while also reflecting the government's willingness to permit imports as a balancing tool. Should the production outlook deteriorate further, upward pressure on domestic prices is likely to re-emerge, potentially prompting additional policy intervention.

- **Asia:** Thailand saw a recovery in September rainfall which provided slight relief from the earlier drought months despite being unevenly distributed throughout the month. Initial concerns over low first half September rainfall were only eased this week as higher rainfall volumes reached main growing regions, aligning closer to initial monthly forecasts in early September. As of 20th September, Thailand's cumulative rainfall reached 908mm, 20% lower YoY from 2025 and 10% below the 10-year historical average. Although all regions saw improved precipitation across all regions in second half September, total volumes trailed 2025 levels. Notably, the Eastern region recorded a 6% YoY increase in September monthly rainfall, while the Northeast, North and Central declined by 3%, 11% and 20% respectively. Overall, Thailand's cumulative rainfall for 2026 stands 20% below 2025's and 10% below the 10-year average. As the crop approaches the end of grand growth period, final week September rainfall will be crucial in determining the extent of dryness and impact on cane development. Downside risks therefore remain. On the other hand, China is on track to higher production for 2026/27 season with favourable July and August weather, despite a dryer September, production should be over 13mmt. China raws demand shows limited signs of recovery, with January to August imports reaching only 54% of last year's during the same period.
- **US:** The September WASDE report brought important changes to the US S&D. For the 2025/26 crop, beet sugar production was revised up slightly by 7k MTRV. The main change came from imports, which were up 109k MTRV, driven by re-exports (+14k MTRV) and TR2 (+78k MTRV, reflecting bulk raws entries in late July and early September). Imports from Mexico were also up 20k MTRV to 220k MTRV, based on actual entries up to early September. Domestic deliveries were disappointing in July, but not enough for USDA to revise its consumption estimate, which was left unchanged. As a result, ending stocks rose by 116k MTRV, lifting the STU ratio by 1.0 p.p. to 16.2%. For the 26/27 crop, the higher beginning stocks were offset by a 100k MTRV production cut: beet was down 20k and cane down 80k, with Louisiana cut by 13k MTRV and Florida by 67k MTRV, putting Florida almost 10% below the July estimate. Some producers, mainly in Florida, have already lowered their numbers because of the mealybug infestation, while others, especially in Louisiana, say they can't assess the impact until the harvest is well underway. Imports were cut by 169k MTRV: TRQ was down 25k MTRV, with no detail yet on the origin, and Mexican imports were down 143k MTRV to 1,078k MTRV (1,017kt tq). This brings the STU to the 13.5% target set under the Suspension Agreement. On the trade side, USTR is reallocating to viable TRQ holders the 55,993 MTRV withheld from Brazil in July. With limited availability from the Philippines and the Dominican Republic, the three largest TRQ holders should not receive any of this reallocation and could be a good opportunity for Centrals and other regional origins.
- **Mexico:** There has been little news on the Mexican side this month. Cumulative rainfall has been good for cane development so far, although volumes have been slightly below average over the past few weeks. Some mills should start crushing the 2026/27 crop over the coming weeks, in October. USDA production estimate is 5.38mm, practically the same volume of the previous season.
- **Centrals:** The region is still in its intercrop period, and weather conditions continue to be challenging. Cumulative rainfall remains below average across the region, and the situation looks concerning in all producing countries.



- **EU/UK:** The rain that arrived in the second half of August came too late to change the crop, and September has opened dry again in the west, with producers cutting their estimates and shortening their campaigns. August rainfall ended close to the five-year norm in France, Belgium and the Netherlands, although Germany received only 65mm against 95mm, and from 1 to 16 September France received 9.5mm against a five-year norm of 34.6mm, Belgium 23.3mm against 39.1mm and Germany 35.2mm against 51.0mm. Root-zone soil moisture across the western beet belt remains 20% to 30% below the 2020/25 average, unchanged from August, so the late rain has fed the canopy rather than the root. The French ministry of agriculture on 15 September forecast 2026 beet output at 25.4mmt, 29% lower on the year and the lowest since its records began in 1980. In Germany, producers expect their shortest campaign in ten years at around 90 days, on lower root yields with sugar content at its usual level, and the German industry's first estimate (WVZ) puts 2026/27 sugar production at 3.386mmt, 23% lower on the year, on a beet yield of 71.3mt/ha against 82.1mt/ha. In Bavaria the 7 September beet test returned single-root weight around 20% below the multi-year average with sugar content at 16.6%, nearly a point above the long-term average, leaving the sugar yield around 15% lower. In the Czech Republic the growers' union expects 65 to 70mt/ha against 82.9mt/ha last year. In Poland, producers expect beet yields of 66mt/ha against 71.9mt/ha in 2025 on an area of around 235,000ha, 23,000ha lower. In the UK, producers have indicated yields around 25% below average.
- **East Europe:** Russia is heading for a bigger crop than last year and domestic prices are already falling. By 14 September the Eurasian Sugar Association put Eurasian sugar production at 1.016mmt, of which 939kmt in Russia and 77kmt in Belarus, with 54 of Russia's 63 factories operating by 11 September. Southern yields are well above last year's drought-affected crop while the centre is running below it, with Belgorod averaging 38.4mt/ha on the first 12% of its area and Bashkortostan 37.5mt/ha on around a third, so the national yield advantage should narrow as the harvest moves north. Domestic prices are falling as new-crop sugar arrives, with Krasnodar wholesale at around RUB 43/kg by 19 September and exchange sales averaging RUB 46,746/mt, and Sugar.ru expects September exports of around 150kmt. In Belarus, 1.146mmt of beet had been lifted from 26,000ha by 16 September, 24% of the area, at 43.7mt/ha, 8% lower on the year, according to the ministry of agriculture. In Ukraine, the first field results are better than had been feared. Agro-ORMS has started its beet season and logged yields of 60mt/ha so far, better than expected and attributed in part to new seed varieties, according to Ukr sugar. One producer's opening fields are an indicator rather than a national picture.

Focus – Crop 2026/27 outlook

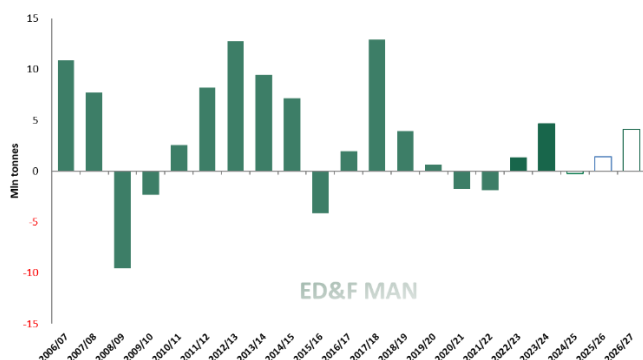
One year ago, at the beginning of the 2025/26 crop, weather was not a major concern for the main sugar-producing regions. At the time, the market was anticipating a recovery in Thailand's crop, large cane volumes from Brazil CS, albeit with a tight ethanol balance, and an Indian crop expected to exceed 30mmt. Expectations for the EU were also relatively positive, while Central America and China were expected to deliver their usual volumes.

As the season progressed, Thailand exceeded its initial expectations, while Brazil confirmed a lower sugar mix at the start of the crop. India, however, turned out to be significantly weaker than initially anticipated. Although the Indian crop was approximately 4mmt below the initial forecast, ending at around 28mmt, Thailand's 11.5mmt crop, combined with surprisingly strong production figures from China and Pakistan, were sufficient to ensure a surplus for the 2025/26 season (October–September).

The outlook for the coming season is markedly different. El Niño is beginning to show its impact, with lower rainfall in India and Central America and an uneven distribution of rainfall in Thailand. Thailand is also facing strong competition from cassava, which is likely to lead to a reduction in sugarcane acreage. The EU is also facing similar challenges, with adverse weather conditions and a reduction in planted area expected to push sugar production to historically low

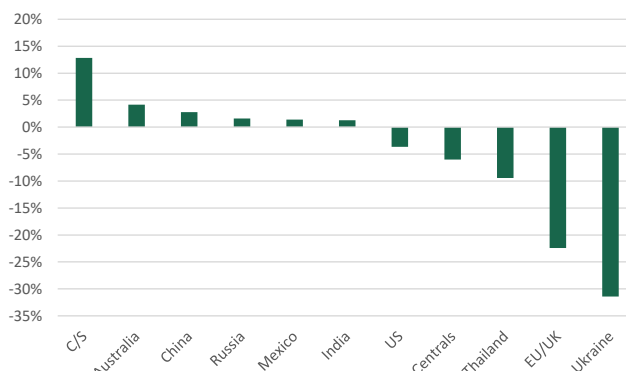


levels. In the case of India, higher cane area may offset the poor yields. Overall, the starting point for the 2026/27 season is therefore very different from that of 2025/26, with weather and acreage now emerging as key risks to production across several major producing regions, leading some analysts to project a World Market deficit.

Figure 3: World Market sugar balance – (Oct/Sep)


*Brazil C/S and Australia refers to 27/28 vs. 26/27

Source: EDF Man Commodity Research

Figure 4: Sugar output change – 26/27 vs. 25/26*


The picture changes significantly when Brazil CS is included in the analysis. As the Brazilian crop follows an April–March cycle, an October–September analysis encompasses two crops: 2026/27 and 2027/28. The strong rainfall observed in September is pushing more production toward the end of the calendar year. More importantly, the wetter conditions experienced in 2026 should support cane development for the 2027/28 crop, while the likelihood of a higher cane yield is also increasing. At the same time, the ethanol balance is expected to be more comfortable at the beginning of the next crop, potentially resulting in lower ethanol prices and, consequently, a higher sugar mix.

Overall, although several producing regions are expected to post lower crop volumes, the size of the Brazilian crop could, based on the information available today, more than offset these losses during the 2026/27 season. Nevertheless, as we saw in the previous crop, unexpected developments could still emerge and materially alter the current view of the global supply-demand balance. India remains the key bullish factor to watch.


Prices Tab

New York #11				London #5			
(cents/lb)	24-Sep	28-Aug	% change	(\$/tonne)	24-Sep	28-Aug	% change
Oct (26)	17.58	17.56	0.1% ↑	Dec (26)	509.9	520.3	-2.0% ↓
Mar (27)	18.61	18.58	0.2% ↑	Mar (26)	520.2	523.0	-0.5% ↓
New York #16				White Premium			
(cents/lb)	24-Sep	28-Aug	% change	(\$/tonne)	24-Sep	28-Aug	% change
Nov (26)	38.45	39.00	-1.4% ↓	Dec/Oct	122.3	133.2	-8.1% ↓
Jan (27)	39.75	39.35	1.0% ↑	Mar/Mar	109.9	113.4	-3.1% ↓
Macro				Currencies			
Indicators	24-Sep	28-Aug	% change	Against US\$	24-Sep	28-Aug	% change
CRB	423.3	406.4	4.2% ↑	Euro (EU) *	1.138	1.158	-1.8% ↓
Gold	4,278	4,453	-3.9% ↓	Pound (GB) *	1.322	1.353	-2.4% ↓
Brent Oil	106.60	89.31	19% ↑	Real (Brazil)	5.192	5.193	0.0% ↑
Baltic Dry	3,473	2,841	22% ↑	Rupee (India)	95.96	95.37	-0.6% ↓
Handysize	1003	874	15% ↑	Rouble (Russia)	85.00	86.15	1.3% ↑
(* rate is US dollars per FX)							

This report does not constitute advice and should not be treated as such. The report does not contain recommendations regarding any investment strategy, security or commodity, or an offer or solicitation to buy or sell either commodities or securities. Should you seek to rely upon any of the content of this report, you do so at your own risk. While we have taken reasonable steps to ensure the accuracy of the information contained in the report, we do not give any warranty or representation of any kind as to its accuracy and/or completeness. We do not accept any liability for any loss or damage arising from any inaccuracy or omission in, or the use of or reliance on, the information in this report. © ED&F MAN 2026